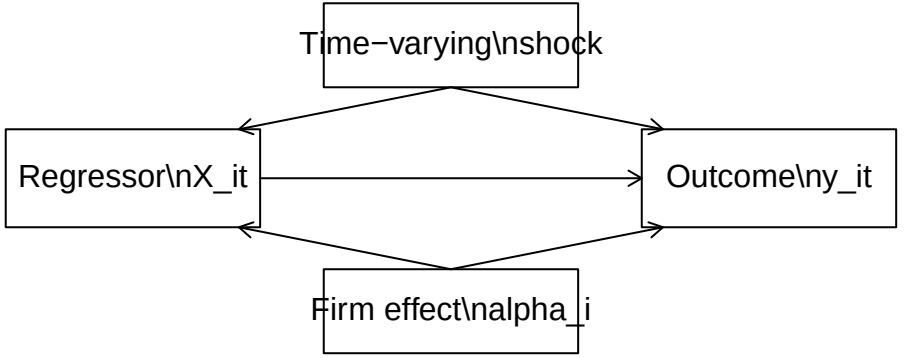FE removes the permanent firm effect, not the time−varying shock path